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AUG 01 2018

4TH DISTRICT
STATE OF UTAH
UTAH COUNTY

IN THE FOURTH JUDICIAL DISTRICT COURT
UTAH COUNTY, STATE OF UTAH

LD III, LLC, a Utah limited liability company, Plaintiff, v. CITY OF MAPLETON, Defendant.	Ruling on Cross Motions for Summary Judgment Date: August 1, 2018 Case Number: 170401683 Division VII: Judge James R. Taylor

The Court now rules on the cross motions for summary judgment filed by LD III, LLC (hereafter "LD III") and City of Mapleton (hereafter "Mapleton"). LD III filed its motion for summary judgment on February 26, 2018. Mapleton filed a memorandum in opposition with a cross motion for summary judgment on March 16, 2018. Briefs in response and in reply followed and the Court heard oral argument for the cross motions on July 9, 2018.

The following facts are not reasonably in dispute.

In 2003, a tract of land (hereafter "Property") within Mapleton City (hereafter "Mapleton") was owned by Suburban Land Preserve (hereafter "Suburban"). On May 7, 2003, Mapleton and Suburban entered into a development agreement (hereafter "Development Agreement"), which would have allowed up to 136 housing units on the Property, making use of transferable development rights (hereafter "TDRs") that were granted to Suburban. Def.'s Ex. 1. Consistent with the Development Agreement, Mapleton designated part of the Property as a TDR

sending site (TDR-S) and zoned the Property accordingly. Def.'s Ex. 1, ¶ B. The remaining portion of the Property was designated and zoned as a TDR receiving site (TDR-R), becoming eligible to utilize the TDRs to accommodate the planned housing development and allow up to 136 units. Def.'s Ex. 1, ¶ 6.

On December 14, 2005, Suburban conveyed the Property to the Preserve at Mapleton Development Company (hereafter the "Preserve"). Def.'s Ex. 18 & 19. The next day, December 15, 2005, the Preserve filed an application with Mapleton to adjust the zoning from an A-2 zone to a PRC-4 zone. Def.'s Ex. 7. An A-2 designation allowed for the use of TDRs to increase the density of development, whereas the PRC-4 designation would not. Mapleton City Code 18.82D.110. On December 21, 2005, the City Council approved the transfer of the Property to the Preserve and limited the housing density to 52 units. Def.'s Ex. 5. Later on May 17, 2006, the City Council approved the zoning change and limited the density to 92 units. Def.'s Ex. 8.

On or about December 1, 2006, the Preserve executed a trust deed in favor of LD III. Pl.'s Ex. 10. In 2008, the Preserve defaulted on its obligations to LD III. On November 7, 2008, a notice of default was entered against the Preserve, and on December 23, 2008, a trustee's deed was entered in favor of LD III. Def.'s Ex. 21 & 22. After LD III acquired title to the Property, it sought to develop the Property by using the TDRs originally granted to Suburban in the Development Agreement. On June 7, 2017, the City Council voted to apply a TDR-R overlay to the Property to allow for a density of not more than 169 units. Def.'s Ex. 24. This zoning decision was challenged and overturned by a referendum vote in June of 2017.

LD III now alleges that because TDRs originally granted to Suburban in the Development

Agreement were covenants that run with the land, they were transferred to it by the foreclosure and remain available for use on the Property. LD III also disputes the validity of the 2017 referendum that overturned the efforts of the City Council to re-apply the TDR-R overlay to the Property to allow for their plans for higher density development.

Mapleton insists that the referendum was proper. It agrees that TDRs granted in 2003 are still capable of being used in an appropriate TDR-R overlay zone but argues that the action to assert those rights on the specific property involved here is untimely. Mapleton further asserts that the covenants did not survive the foreclosure action and do not now "run with the land," because when the Preserve asked Mapleton to rezone at a lower density level, they acquiesced and abandoned the contract right to develop the Property at the higher density.

Pursuant to Rule 56 of Utah Rules of Civil Procedure, summary judgment is proper when there are no relevant disputed facts and the moving party is entitled to judgment as a matter of law. Heslop v. Bear River Mut. Ins. Co., 2017 UT 5, ¶ 24. Additionally, the Court must examine the evidence in the light most favorable to the non-moving party. Id. In the present case, while the parties dispute the characterization of certain facts, it is the view of the Court that there are no material disputes of fact that preclude summary judgment.

Timeliness

The attempt by LD III to claim the higher density allowances specified in the Development Agreement is untimely. The density allowances are specified in the Mapleton zoning maps as approved by the Mapleton City Council pursuant to Mapleton City Code §§ 18.12.010, 18.12.020; Utah Code Ann. § 10-9a-205. The Mapleton City Code specifies that:

> "The location and boundaries of each of the zones shall be as set forth on the official zone map, ... [and] [t]he official zone map and all notations, references and other information shown thereon shall be as much a part of [the City Code] as if the boundary lines and other references and information set forth thereon were fully described in this chapter."

MCC § 18.24.020(A). Zoning decisions of the Mapleton City Council are final decisions. A challenge to a zoning decision must be made within 10 days of the action being challenged. Judicial review of the decision of the city council must be sought within 30 days of the final decision by the city council. MCC § 18.84.460(B) & (D); MCC § 18.84.320.

The Utah Code allows a longer period for challenge:

> "Actions on claims against a county, city, or incorporated town, which have been rejected by the county executive, city commissioners, city council, or board of trustees shall be brought within one year after the first rejection."

Utah Code Ann. § 78B-2-303.

In this case, the density allowances for the Property were changed by the Mapleton City Council through elimination of the TDR-R overlay from 136 units as specified in the Development Agreement to 52 units on December 21, 2005, and then to 92 units on May 17, 2006. Def.'s Ex. 1, 5, & 9, Mapleton City Council Meeting Minutes. LD III filed this action on November 14, 2017, more than a decade after both the city and state statutes of limitations to appeal zoning decisions had run.

LD III has argued that elimination of the TDR-R designation was a zoning change, and therefore invalid because notice required for zoning changes was not given at the time. Assuming that to be true, the Utah Municipal Land Use Development and Management Act states that, "If notice given under authority of this part is not challenged

under Section 10-9a-801 within 30 days after the meeting or action for which notice is given, the notice is considered adequate and proper." Utah Code Ann. § 10-9a-209.

Incidental Contractual Obligations Do Not Survive Foreclosure

LD III argues that the promise of Mapleton City in the Development Agreement to allow higher density was a covenant or a vested interest that ran with the land and should still be available to it as a subsequent owner of the Property. In order for a covenant to run with the land,

> (1) the covenant must touch and concern the land affected by the covenant,
> (2) the original parties to the covenant must have expressly or impliedly intended the covenant to run with the land,
> (3) there must be privity of estate, and
> (4) the covenant "must be in writing."

Stern v. Metro. Water Dist., 2012 UT 16, ¶ 40, 274 P.3d 935.

Elements 1 and 4 are satisfied. When the agreement was written the covenant in question did "touch and concern the land affected by the covenant." The agreement was written. As explained below, LD III fails on the second and third of the required elements.

LD III contends that the Development Agreement expressly states that its terms are to run with the land. However, the relevant language of the Development Agreement is not in accord:

> Owner's rights under this Agreement shall be personal to Owner and shall only run with the land so long as Owner or a company which is affiliated with or under common ownership and control of Owner shall own and be the Owner of the Property. In the event that Owner intends to sell the Property or any portion thereof to any other party, Owner shall advise the city of such intention. Only upon the express prior written approval by the City, shall any rights of Owner with respect to the portion of the Property being sold be deemed transferred to the

> new owner thereof. City may withhold such approval in the exercise of its reasonable business judgment, based upon conditions that exist at the time of the transfer, the proposed transferee and the history of the development of the Project prior to such time.

Def.'s Ex. 5, Development Agreement ¶ 10. This clause specifically limits the extent to which the covenants run the land and requires express consent on the part of Mapleton to approve assignment of those covenants to a third party. It is true that the covenants were later properly assigned to the Preserve, as evidenced in the Mapleton City Council Minutes from December 21, 2005:

> Accordingly, SLR has sold the property to Craig Theuson subject to City approval to the assignment as required under the Development Agreement, to build approximately 55 dwellings.

Def.'s Ex. 5, Mapleton City Council Meeting Minutes; *See also* Def.'s Ex. 6, Resolution Approving Land Transfer. However, the Preserve defaulted and the Property was foreclosed by LD III as recorded in the Trustee's Deed. Def.'s Ex. 22. When the Property went through foreclosure, there was no express approval for the covenants to continue running with the land as required by the Development Agreement. Without that approval and having taken the Property by foreclosure, it is the view of this Court that neither the City nor the succeeding property owner continued to be bound by the terms of the Development Agreement.

This finding is supported by Oquirrh Assocs. v. First Nat. Leasing Co., in which the plaintiff purchased real property and then sought to enforce the terms of a contractual agreement negotiated by the previous owners. 888 P.2d 659, 662-63 (Utah Ct. App. 1994). The Utah Court of Appeals held that the plaintiff had a property interest, but had not acquired the rights

and liabilities under the contract to which the plaintiff was not a party. Specifically:

> The Loiselles contracted to convey their interest in the property to Bernard by executing a separate uniform real estate contract, not by assigning and delegating the rights and obligations of the Oquirrh-Loiselle contract. The Loiselle-Bernard contract, executed nearly one year and five months after execution of the Oquirrh- Loiselle contract, contained a different purchase price, different payment amounts, a different interest rate, and dramatically different repayment terms than the Oquirrh-Loiselle contract. Rather than an assignment, the transaction between the Loiselles and Bernard constituted a subpurchase by subcontract, similar to the situation described in Hansen v. Green River Group, 748 P.2d 1102 (Utah App.1988). In Hansen, this court concluded that while a subpurchase did create privity of estate between the original vendor and the subpurchaser, it did not create privity of contract between them unless the parties so agreed. Id. at 1104 n.2. The parties in this case reached no such agreement.Id.

Oquirrh Assocs. v. First Nat. Leasing Co. does not expressly address whether previous contractual terms survive a foreclosure; however, Utah Code Ann. § 57-1-22.5 governs the assignment of contractual rights in a trust deed, and specifies the requirements to establish prima facie evidence of an assignment of a trust deed. It states as follows:

> (1) A recorded notice of assignment of a beneficial interest, executed by the assigning beneficiary, is prima facie evidence of an assignment of the trust deed as described in the notice.
> (2) The notice of assignment of a beneficial interest shall:
> (a) state:
> (i) the names of the original parties to the trust deed;
> (ii) the date the trust deed was recorded;
> (iii)(A) the book and page where the trust deed is recorded; or
> (B) the entry number where the trust deed is recorded;
> (iv) the legal description of the trust property; and
> (v) the name and address of the new beneficiary; ...

There is no evidence before this Court that the development rights regarding density

and zoning outlined in the Development Agreement were assigned to LD III pursuant to Utah Code Ann.§ 57-1-22.5. Additionally, there are no indications that the parties to the agreement specifically intended the Development Agreement to survive the foreclosure without the express consent of Mapleton. Def.'s Ex. 5, ¶ 10.

The Utah Court of Appeals made a similar ruling in Hansen v. Green River Group 748 P.2d 1102. In that case, Hansen obtained a decree of foreclosure against Synvest Corporation. Synvest had previously made a subcontract with Green River Group. After foreclosure, Hansen sued to receive the benefits of the contract between Synvest and Green River Group, either by assignment, or as a third-party beneficiary. The court found no evidence that the subcontract survived the foreclosure. Specifically, the court held,

> ...If Synvest and Group actually intended that Group should make the payments to Hansens, such a provision should have and could have been stated in the contract with specificity. Notably absent are the usual words of either an assumption or an assignment, such as "assumes," "agrees to pay," "assigns," "transfers" or "conveys."

Id. at 1104. Likewise, in the present case, there is no language in the deed of trust or the city ordinance to suggest that either party intended the rights under the Development Agreement to pass to LD III in the event of foreclosure. It is the conclusion of this Court that there was no specific or implied assignment of those rights and that any benefits under the Development Agreement did not survive the foreclosure proceedings.

Development Rights were Lost by Acquiescence or Mutual Agreement

It is significant that the trust deed was executed in December 2006—six months after the transfer of the Property from Suburban to the Preserve was approved by the City Council. It is the view of this Court that by the time the Property became encumbered in favor of LD III, the right to claim the Property as a TDR-R site had already been waived.

Waiver is "[T]he intentional relinquishment of a known right. To constitute waiver, there must be an existing right, benefit or advantage, a knowledge of its existence, and an intention to relinquish it." Soter's, Inc. v. Deseret Fed. Sav. & Loan Ass'n, 857 P.2d 935, 937 (Utah 1993). A waiver may be express or implied and the Court must find its existence by considering the totality of the circumstances. Id.

It is undisputed that there was a "known right" to construct housing more densely on the Property, granted by application of the TDR-R overlay. The Development Agreement between the record owner of the Property (Suburban) with Mapleton specifically allowed construction of 136 single-family residential units on the Property. Def.'s Ex. 1.

It is not disputed that the right to construct more housing on the Property was considered a benefit to the property owner. It was obtained from Mapleton at the request of Suburban who transferred valuable property to Mapleton as payment. The benefit or condition was obviously known to the Preserve, the subsequent owner. The Preserve initiated and participated in a process to change the allowed density to pursue a modified density development. The TDR-R overlay was removed at the request of the Preserve. Def.'s Ex. 7.

The question posed by this motion is whether by a totality of the circumstances the Preserve intended, by that action, to abandon the right which it purchased from Suburban to

develop at a higher density. The TDR-R overlay was not necessary for the development proposed by Suburban. The City now insists, and no one has disagreed, that the TDR rights purchased in 2003, to the extent they have not already been applied, are still valid if placed upon other property within Mapleton that is presently designated with a TDR-R overlay. However, after the sale of the Property to the Preserve, at the request of the Preserve, the City Council passed a resolution to permit the transfer of the Property from Suburban to the Preserve. Def.'s Ex. 6, Mapleton City Resolution Approving Land Transfer. The resolution reiterated the condition that the development would not include more than 52 homes. Id. On May 17, 2006, the Mapleton City Council voted to remove the TDR-R status –effectively approving the rezoning of the Property to allow for only 92 units, which is the number that Mapleton alleges is proper under the current zoning. Def.'s Ex. 8, Mapleton City Council Meeting Minutes. There are no other circumstances that suggest that the Preserve had any intent except to abandon the bargained-for higher density on the Property to pursue the modified plan. The Court finds by considering the totality of the circumstances that the right to develop the Property at a higher density was waived.

Validity of the Voter Referendum

The plan for development by the Preserve appears to have failed—LD III foreclosed. The nature of the default is not part of this lawsuit and it is unchallenged here. LD III exercised its right to take the Property and gained ownership of the Property by that process. At the request of this third owner, the Mapleton City Council, by majority vote, once again modified the zoning designation of the Property to apply the TDR-R overlay to allow use of the previously sold TDR

waivers on the Property. That decision appears to have been unpopular. Shortly after the rezoning, the decision of the City Council was challenged by a general referendum presented to the population of Mapleton City for vote on June 27, 2017. The referendum succeeded and the action to restore the enhanced density right for the Property was undone.

LD III challenges the constitutional validity of the voter referendum. The Utah Supreme Court examined validity of voter referenda for zoning issues in Krejci v. City of Saratoga Springs. In that case, the court explained the proper role of voter referenda:

> Article VI of the Utah Constitution vests legislative power in the people, to be exercised by petition for ballot initiatives and referenda. Carter v. Lehi City, 2012 UT 2, ¶ 17, 269 P.3d 141. That power is limited to actions constituting "a valid exercise of legislative rather than executive or judicial power." Id. ¶ 18. Thus, when a city council exercises its legislative authority, voters retain the constitutional prerogative of challenging its decisions by referendum. But where the city council is acting pursuant to its administrative authority, the voters have no such right.

2013 UT 74, ¶ 21, 322 P.3d 662, 666. Critical to this case, the court found that a referral to the voters on the question of a site-specific zoning ordinance was a legislative act that could be properly addressed by referendum.

LD III maintains that the 2017 referendum was either an administrative action, which would be inappropriate for referral to the voters or that it was an improper legislative action. The Court concludes that an action by the City Council to apply a TDR-R overlay is plainly an action to modify the zoning scheme, even if specific to a single property. The clear holding of Krejci is that such an action is legislative, not administrative and properly subjected to a referendum vote.

LD III argues that if the zoning change was a legislative action, then the previous removal of the TDR-R overlay was improper because it lacked the proper procedure as required by statute. Utah Code Ann. § 10-9a-502(1) and (2).

Ordinance 2007-18, which applied the PRC-4 zone and removed the TDR-R overlay to limit density to 92 units, was enacted pursuant to MCC § 1.01.020, which states,

> This code shall be adopted by an ordinance enacted in accordance with the applicable provisions of section 10-3-701 Utah Code Annotated, as amended, and shall become effective at the time set forth in the enacting ordinance."

Utah Code Ann. § 10-3-702 addresses the authority of the city council to pass ordinances, and it states,

> The governing body may pass any ordinance to regulate, require, prohibit, govern, control or supervise any activity, business, conduct or condition authorized by this act or any other provision of law.

Regarding the form of the ordinance, Utah Code Ann. § 10-3-704 states,

> The governing body shall ensure that any ordinance that the governing body passes contains the following, in substantially the following order and form:
> (1) a number;
> (2) a title which indicates the nature of the subject matter of the ordinance;
> (3) a preamble which states the need or reason for the ordinance;
> (4) an ordaining clause which states "Be it ordained by the _____ (name of the governing body and municipality):";
> (5) the body or subject of the ordinance;

The Court notes that Ordinance 2007-18 is also in compliance with Utah Code Ann. § I 0-3-711-12. See also MCC § 1.20.010.

In their argument, LD III implies that the ordinance that caps the density at 92 units was invalid because it did not follow the proper procedures, presumably those outlined in

section 18.12.010 of the Mapleton City Code, which deals with zoning changes. Instead, the City chose to adhere to the general procedures for ordinances found in section 1.01.020 of the Mapleton City Code. The Utah Municipal Code grants broad authority to city councils. Utah Code Ann. § 10-3-702. It states,

> The governing body may pass any ordinance to regulate, require, prohibit, govern, control or supervise any activity, business, conduct or condition authorized by this act or any other provision of law.

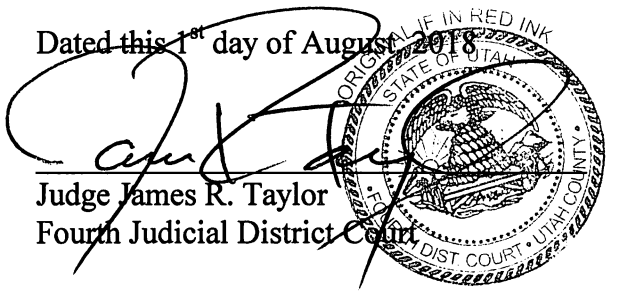
Id. The Court finds that the Utah Municipal Code permits the City Council to modify the density of development through the general ordinance procedures rather than the more specific zoning amendments. A modification enacted in this way is a legislative act that is appropriate for a voter referendum.

Additionally, even if the ordinance that caps the density at 92 was improperly passed, as the Court noted above, LD III has lost the right to contest the ordinance because the statute of limitations has long since run. Utah Code Ann. § 10-9a-209.

In conclusion, the Court finds that the LD III did not timely pursue their claims. But even if the claims had been pursued in a timely fashion, LD III did not obtain any ability to apply TDR rights to the Property by foreclosure of the Deed of Trust because the ability to apply the TDR rights was abandoned by the Preserve before the foreclosure. The attempt by the City Council to re-enable application of the TDR rights to the Property was a legislative zoning action which was properly challenged and reversed by referendum.

For these reasons, the Court now grants summary judgment in favor of Mapleton, and denies the motion for summary judgment as to LD III.

Dated this 1st day of August, 2018.



Judge James R. Taylor
Fourth Judicial District Court

A Mailing certificate is on following page.
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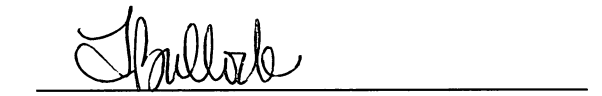
Distributed this 1st day of August, 2018, as noted above.



Court Clerk

CERTIFICATE OF NOTIFICATION

I certify that a copy of the attached document was sent to the following people for case 170401683 by the method and on the date specified.

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Deputy Court Clerk